

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT (this "Lease") is made and entered into as of March 1, 2015, by and between **BOSTON PROPERTIES MANAGEMENT LLC**, a Massachusetts limited liability company ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

WHEREAS, Landlord is the owner of certain real property and improvements located at 123 Main Street, Boston, Massachusetts; and

WHEREAS, Tenant desires to lease from Landlord certain premises within said property for the operation of a retail supercenter; and

WHEREAS, Landlord is willing to lease such premises to Tenant upon the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the mutual covenants and agreements herein contained, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

ARTICLE 1 - PREMISES

1.1 Demised Premises

Landlord hereby leases to Tenant, and Tenant hereby leases from Landlord, subject to the terms and conditions set forth herein, those certain premises (the "Premises") consisting of approximately 35,000 square feet of retail space, as more particularly described in **Exhibit A** attached hereto and incorporated herein by reference, located at:

123 Main Street

Boston, Massachusetts 02118

Store ID: S001

1.2 Common Areas

Tenant shall have the non-exclusive right to use, in common with others, the Common Areas of the Shopping Center, including but not limited to parking areas, sidewalks, landscaped areas, and service drives, subject to such reasonable rules and regulations as Landlord may establish from time to time.

1.3 Parking

Tenant shall be entitled to the non-exclusive use of 175 parking spaces (5 spaces per 1,000 square feet of leased space) in the Shopping Center parking areas.

ARTICLE 2 - TERM

2.1 Initial Term

The term of this Lease shall be for a period of **TEN (10) YEARS**, commencing on March 15, 2015 (the "Commencement Date") and expiring on March 14, 2025 (the "Expiration Date"), unless sooner terminated in accordance with the provisions hereof.

2.2 Renewal Options

Provided Tenant is not in default under this Lease, Tenant shall have two (2) successive options to renew this Lease for additional terms of five (5) years each, upon the same terms and conditions except that:

- (a) Base Rent shall be adjusted to 95% of fair market rent
- (b) Tenant must provide written notice of intent to renew at least 180 days prior to expiration
- (c) No further renewal options shall be granted

2.3 Holding Over

If Tenant remains in possession after expiration without Landlord's written consent, Tenant shall be a month-to-month tenant at 150% of the then-current Base Rent, plus all Additional Rent.

ARTICLE 3 - RENT

3.1 Base Rent

Tenant shall pay to Landlord Base Rent as follows:

Years 1-3: \$87,500.00 per month (\$2.50 per sq ft/month)

Years 4-6: \$91,875.00 per month (\$2.625 per sq ft/month)

Years 7-8: \$96,250.00 per month (\$2.75 per sq ft/month)

Years 9-10: \$101,500.00 per month (\$2.90 per sq ft/month)

3.2 Additional Rent

In addition to Base Rent, Tenant shall pay as Additional Rent:

- (a) Tenant's Proportionate Share of Operating Expenses
- (b) Tenant's Proportionate Share of Real Estate Taxes
- (c) Tenant's Proportionate Share of Insurance Premiums

- (d) All other sums designated as Additional Rent herein

3.3 Proportionate Share

Tenant's Proportionate Share shall be 28.5% (35,000 sq ft / 122,807 total sq ft of Shopping Center).

3.4 Payment Terms

All Rent shall be paid in advance on the first day of each month without notice, demand, deduction, or offset. Payments shall be made to:

Boston Properties Management LLC

P.O. Box 845329

Boston, MA 02284-5329

3.5 Late Charges

If any Rent is not received within five (5) days of the due date, Tenant shall pay a late charge of 5% of the overdue amount, plus interest at 1.5% per month.

ARTICLE 4 - USE

4.1 Permitted Use

The Premises shall be used solely for the operation of a retail supercenter store operating under the trade name "Skyline Stores" or such other trade name as Tenant may adopt, selling general merchandise, groceries, pharmacy products, and related goods and services.

4.2 Prohibited Uses

Tenant shall not use the Premises for any unlawful purpose or in violation of any applicable laws, ordinances, or regulations. Specifically prohibited are:

- Adult entertainment establishments
- Cannabis dispensaries (unless legally permitted and approved by Landlord)
- Hazardous waste storage or disposal
- Any use creating excessive noise, odor, or vibration

4.3 Exclusive Use

During the first five (5) years of the Term, Landlord agrees not to lease space in the Shopping Center to another general merchandise discount retailer exceeding 20,000 square feet.

ARTICLE 5 - OPERATING EXPENSES AND TAXES

5.1 Operating Expenses

Tenant shall pay its Proportionate Share of Operating Expenses, including but not limited to:

- Common Area maintenance and repairs
- Snow removal and landscaping
- Security services
- Property management fees (not to exceed 3% of gross rents)
- Common Area utilities and lighting
- Insurance deductibles

5.2 Real Estate Taxes

Tenant shall pay its Proportionate Share of all Real Estate Taxes assessed against the Shopping Center. Tenant may contest taxes through appropriate proceedings at Tenant's sole expense.

5.3 Audit Rights

Tenant shall have the right, upon 30 days' written notice and at Tenant's expense, to audit Landlord's books and records relating to Operating Expenses and Taxes once per calendar year.

ARTICLE 6 - MAINTENANCE AND REPAIRS

6.1 Tenant's Obligations

Tenant shall, at its sole cost and expense:

- Maintain the interior of the Premises in good condition
- Maintain all store fixtures, equipment, and trade fixtures
- Maintain all interior plumbing, electrical, and lighting fixtures
- Replace all interior glass breakage
- Perform daily cleaning and janitorial services
- Maintain all signage installed by Tenant

6.2 Landlord's Obligations

Landlord shall maintain in good condition:

- The roof, foundation, and structural elements
- Common Areas and parking facilities
- Building exterior walls and windows

- **All HVAC systems serving the Premises** (including all maintenance, repairs, and replacements)
- Fire protection systems
- Common Area lighting

6.3 HVAC Service

Landlord shall provide HVAC service to maintain temperatures between 68-76°F during business hours. Landlord shall perform all maintenance, repairs, and replacements of HVAC equipment at Landlord's sole cost and expense. After-hours HVAC service available at \$75 per hour upon request.

ARTICLE 7 - UTILITIES

7.1 Tenant's Utilities

Tenant shall contract for and pay directly for all utilities serving the Premises, including:

- Electricity
- Natural gas (if applicable)
- Water and sewer
- Telephone and internet services
- Trash removal and recycling
- Any other utilities used by Tenant

7.2 Separate Metering

All utilities serving the Premises shall be separately metered. If any utilities are not separately metered, Tenant shall pay its Proportionate Share of such utilities.

ARTICLE 8 - INSURANCE

8.1 Tenant's Insurance

Tenant shall maintain, at its expense:

- Commercial General Liability: \$2,000,000 per occurrence / \$4,000,000 aggregate
- Property Insurance: Full replacement cost of Tenant's property
- Business Interruption Insurance: 12 months' Rent and operating expenses
- Workers' Compensation: As required by law
- Umbrella Policy: \$10,000,000

8.2 Landlord's Insurance

Landlord shall maintain property insurance on the Building and liability insurance for Common Areas.

8.3 Waiver of Subrogation

Each party waives all rights of recovery against the other for any loss covered by insurance required hereunder.

ARTICLE 9 - INDEMNIFICATION

9.1 Tenant's Indemnity

Tenant shall indemnify, defend, and hold harmless Landlord from and against any and all claims arising from:

- Tenant's use of the Premises
- Any activity on the Premises by Tenant or its invitees
- Tenant's breach of this Lease
- Except to the extent caused by Landlord's gross negligence or willful misconduct

9.2 Landlord's Indemnity

Landlord shall indemnify Tenant from claims arising from Landlord's gross negligence or willful misconduct in Common Areas.

ARTICLE 10 - ASSIGNMENT AND SUBLETTING

10.1 Consent Required

Tenant shall not assign this Lease or sublet the Premises without Landlord's prior written consent, which shall not be unreasonably withheld, conditioned, or delayed.

10.2 Permitted Transfers

Notwithstanding the above, Tenant may assign or sublet to:

- Any entity controlling, controlled by, or under common control with Tenant
- Any entity resulting from merger or consolidation with Tenant
- Any entity acquiring substantially all of Tenant's assets

ARTICLE 11 - ALTERATIONS

11.1 Tenant Alterations

Tenant may make non-structural alterations costing less than \$50,000 without Landlord's consent. All other alterations require Landlord's prior written consent.

11.2 Removal

Unless otherwise agreed in writing, Tenant shall remove all alterations and restore the Premises at Lease termination.

ARTICLE 12 - SIGNAGE

12.1 Storefront Signage

Tenant shall have the right to install signage on the storefront in accordance with Landlord's sign criteria and applicable codes.

12.2 Monument Signage

Tenant shall have the right to placement on Shopping Center monument signs on a proportionate basis.

ARTICLE 13 - DEFAULT AND REMEDIES

13.1 Events of Default

The following shall constitute Events of Default:

- Failure to pay Rent within 10 days after written notice
- Failure to perform other obligations within 30 days after written notice
- Abandonment of the Premises
- Filing of bankruptcy or insolvency proceedings

13.2 Landlord's Remedies

Upon default, Landlord may:

- Terminate this Lease
- Re-enter and relet the Premises
- Accelerate all Rent due
- Exercise any other legal remedies

13.3 Tenant's Remedies

If Landlord defaults, Tenant may:

- Cure the default and offset costs against Rent

- Seek specific performance
- Terminate this Lease for material breach
- Exercise any other legal remedies

ARTICLE 14 - MISCELLANEOUS

14.1 Notices

All notices shall be in writing and delivered by certified mail or overnight courier to:

Landlord:

Boston Properties Management LLC
100 Federal Street, Suite 2100
Boston, MA 02110
Attn: Property Manager

Tenant:

Skyline Stores
500 Commerce Drive
Dallas, TX 75201
Attn: Real Estate Department

14.2 Force Majeure

Neither party shall be liable for delays due to causes beyond their reasonable control, including acts of God, war, terrorism, or pandemic.

14.3 Entire Agreement

This Lease constitutes the entire agreement between the parties and supersedes all prior negotiations and agreements.

14.4 Governing Law

This Lease shall be governed by the laws of the Commonwealth of Massachusetts.

14.5 Severability

If any provision is invalid or unenforceable, the remainder shall continue in full force and effect.

14.6 Recording

Tenant shall not record this Lease without Landlord's consent but may record a memorandum of lease.

ARTICLE 15 - SIGNATURES

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first written above.

LANDLORD:

BOSTON PROPERTIES MANAGEMENT LLC

By: _____

Name: Michael Harrison

Title: Senior Vice President

Date: March 1, 2015

TENANT:

SKYLINE STORES

By: _____

Name: Jennifer Martinez

Title: Chief Real Estate Officer

Date: March 1, 2015

EXHIBITS

Exhibit A - Legal Description and Floor Plan of Premises

Exhibit B - Shopping Center Site Plan

Exhibit C - Landlord's Work Letter

Exhibit D - Sign Criteria

Exhibit E - Rules and Regulations

Exhibit F - SNDA Form